NATIONAL COMPANY LAW TRIBUNAL
AMARAVATI BENCH
(Video Conference)

PRESENT: JUSTICE TELAPROLU RAJANI – MEMBER JUDICIAL
ATTENDANCE-CUM-ORDER SHEET OF THE HEARING HELD ON 02.09.2022 AT 10.30 AM

TC/CP. Nos.	CA/IA No.	Section/ Rule	Name of Parties
CP(CAA)No.4/230/AMR/2022		230	Sierra Agro Private Limited (Transferor Company)

Counsel for Petitioner(s):

Ries

Name of the Counsel(s)	Designation	E-mail & Telephone No.	Signature

Counsel for Respondent(s):

Ries

Name of the Counsel(s)	Designation	E-mail & Telephone No.	Signature

ORDER

CP(CAA)No.4/230/AMR/2022 is allowed, vide separate orders.

SD/-
JUSTICE TELAPROLU RAJANI
MEMBER JUDICIAL

NATIONAL COMPANY LAW TRIBUNAL
AMARAVATI BENCH AT MANGALAGIRI

CP (CAA) No.4/230/AMR/2022
AND
CP (CAA) No.5/230/AMR/2022

In the matter of Section 230 to 232 of the Companies Act, 2013
AND
In the matter of Scheme of Amalgamation of **M/s. SIERRA AGRO PRIVATE LIMITED**, the Transferor Company (having its registered office in Andhra Pradesh) by **M/s.SEETHARAMA OIL INDUSTRIES PRIVATE LIMITED**. Both the Petitioner Companies (having its registered office in Andhra Pradesh).

In the matter of

CP (CAA) No.4/230/AMR/2022:

M/s.SIERRA AGRO PRIVATE LIMITED,
Registered office at Survey No.59/1,
Rajam Mandal, Penubaka Village,
Srikakulam District, Andhra Pradesh - 532127.

... Petitioner/Transferor Company

CP (CAA) No.5/230/AMR/2022:

M/s. SEETHARAMA OIL INDUSTRIES PRIVATE LIMITED,
Registered office at Door No.5-34,
Seetarama Colony, Opp. LIC Office,
Rajam Mandal, Srikakulam District,
Andhra Pradesh - 532127.

... Petitioner/Transferee Company

Date of pronouncement of order: 02.09.2022

CORAM

Justice Telaprolu Rajani, Member Judicial

Appearance:

For the Petitioner: Mr. A.Nagaraj Kumar, Advocate

Per: Justice Telaprolu Rajani, Member (Judicial)

COMMON ORDER IN THE MATTER OF CP (CAA) No.4/230/AMR/2022 AND CP (CAA) No.5/230/AMR/2022

1. The present Company Petition is filed by M/s. SIERRA AGRO PRIVATE LIMITED (Transferor Company) and M/s. SEETHARAMA OIL INDUSTRIES PRIVATE LIMITED (Transferee Company) under Sections 230 & 232 of the Companies Act, 2013 seeking to permit the Transferor Company for Scheme of Amalgamation (the Scheme for short) with the Transferee Company. Both the Transferor Company and Transferee Company registered offices are situated at Andhra Pradesh.

2. Briefly the facts are as follows:

   i. The Authorised Share Capital of the Petitioner/Transferor Company as on 31.03.2021 is Rs.1,00,00,000/- divided into 1000000 equity shares of Rs.10/- each. The issued, subscribed

and paid up share capital is Rs.1,00,00,000/- divided into 1000000 equity shares of Rs.10/- each. The main objects of the Transferor Company are to carry on the business of cultivators, growers, manufacturers, millers, grinders, rollers, processors, cold storers, canners and preservers, dealers of food grains and other agricultural dairy horticulture and poultry products, fruits, vegetables, herbs, medicines, flowers, drinks, fluids, gas and flesh, etc.

ii. The Authorised Share Capital of the Petitioner/Transferor Company as on 31.03.2021 is Rs.1,75,00,000/- divided into 1750000 equity shares of Rs.10/- each. The issued, subscribed and paid up share capital is Rs.1,75,00,000/- divided into 1750000 equity shares of Rs.10/- each. The main objects of the Transferee Company are to carry on the business of preparation of solvent oil, extraction of oil from agricultural produce and production of agri-based products, oil rice bran and all types of oils cakes, oil bearings, seeds and nuts, soaps, deoiled brans, manufacturer, treat, refine, prepare, purchase, sell, cattle and poultry feeds, farm manure, barrels, bags, etc., and other allied activities.

iii. The benefits of the Scheme of Amalgamation are to provide significant impetus to the growth of the Petitioner Companies. It will lead to synergies of operations and a stronger and wider capital and financial base for future growth /expansion of the Transferee Company. It will also result in economy of scale, reduction in overheads, administrative, managerial and other expenditure and increase in operational rationalization, organizational efficiency and optimal utilization of various resources. In order to achieve the aforesaid objectives, the Board of Directors of the Petitioner Companies has proposed to amalgamate the Transferor Company with the Transferee Company.

iv. The Board of Directors of the Petitioner Company approved the scheme at its respective board meetings held on 24.06.2021. The appointment date is 01.04.2021. Consent, by way of Affidavit and No Objection to the Scheme supported by Board, was also obtained from all the Equity Shareholders, Secured Creditors and Un-Secured Creditors of the Petitioner Companies.

v. The Tribunal, by order dated 14.12.2021, dispensed with the requirement of holding meetings of all Equity Shareholders, Secured Creditors & Unsecured Creditors of the Petitioner

Companies. The scheme of amalgamation was approved by the board of directors and others.

3. Heard the Learned Counsel appearing for the Petitioner Companies, RD and OL and perused the records.

4. The Regional Director (RD) filed his report dated 05.08.2022 and raised the following objections and the Petitioner Company replied to the same as detailed below:

S.No.	RD's Observations	Reply of the Petitioner Companies by way of undertaking affidavit dated **29.08.2022**
1	The Directorate has received letter dated 20.06.2022 from the ROC, Andhra Pradesh by pointing out certain observations as under:- a) The Regional Director (RD) sought this Tribunal to direct the Petitioner Company to	Undertaking regarding given by the Petitioner Companies: a. To preserve the books of accounts, papers and records of both the Petitioner Companies and not to dispose of them without the prior permission of the

	preserve its books of accounts and papers and records and shall not be disposed of without the prior permission of the Central Government in terms of Section 239 of the Companies Act, 2013.	Central Government in terms of Section 239 of the Companies Act, 2013. b. To ensure statutory compliance of all applicable laws. c. To file confirmation of the scheme of amalgamation in Form INC-28 with the RoC, AP within the specified time period. d. To file an application with the RoC, AP indicating the revised authorised capital and proof of paying prescribed fees due on revised after setting off the fee already paid by
	b) The Regional Director (RD) sought this Tribunal to direct the Petitioner Company to ensure statutory compliance of all applicable laws and also on sanctioning of the present scheme the applicant company shall not be absolved	

	for any of its statutory liability in any manner.	the Transferor Company.
	c) The Regional Director (RD) sought this Tribunal to direct the Petitioner Companies, involved in the scheme to comply with Rule 17(2) of Companies (Compromise, Arrangement and Amalgamation) Rules, 2013 with respect to filing of order for confirmation of scheme to be filed in Form No.INC-28 with the concerned office of RoC by the Petitioner Companies.	2. As and when the demand arises from the Income Tax Department, Transferee Company will pay/settles ready to pay the said dues.
	d) The Regional Director (RD) sought this	

	Tribunal to direct the Petitioner Transferee Company to file an application with RoC indicating the revised authorised capital and proof of paying prescribed fees due on revised capital after setting of that fee already paid by Transferor Company.	
2	The Regional Director (RD) sought this Tribunal to direct the Petitioner Companies to furnish an undertaking that as and when the demand arises from the Income Tax Department, Transferee Company will pay/settles ready to pay the said dues.	

5. The Regional Director (RD), after considering the said reply by the Petitioner, did not raise any further objection. The Official Liquidator (OL) made certain observations and the Petitioner Company has filed reply to the report of the Official Liquidator (OL) which is as follows;

S.No	Observations of Official Liquidator filed on 27.06.2022	Response of the Petitioners Company filed on 07.07.2022
1	Clause 1.13 of Part-A of the Scheme dealing with "Record Date" leaving it as undetermined and seeking to vest entire power to fix the record date completely with the Board of Directors of Transferee Company alone without the involvement of Transferor Company. Hence, the Hon'ble Tribunal may be pleased to direct the Transferee Company to submit an undertaking (on an Affidavit duly notarized) to this Hon'ble Tribunal to the effect that the Record Date would be decided	In response to the observation the Petitioner Companies have given an undertaking (on affidavit duly notarized) stating that: (1) the Record Date would be decided and fixed by both the Board of Directors of the Petitioner Companies immediately after the sanction of the Scheme and before dissolution of the

	and fixed mutually by the Board of the Directors of Petitioner Companies immediately after sanction of the Scheme and before dissolution of the Transferor Company on effective date.	Transferor Company on the effective date. (2) There would no retrenchment of any employee, workmen, who are in service as on the Appointed Date i.e., 01.04.2021. (3) The Petitioner/Transferee Company shall account for amalgamation in accordance with the 'Pooling of Interest Method of Accounting' laid down by Accounting Standard 14 (Accounting for
2	Clause 7.1 of Part-B of the Scheme seeks to protect the staff, workmen and employees of the Transferor Company, if they are in employment as on the effective date. Hence, the Hon'ble Tribunal may be pleased to direct the Transferor and Transferee Companies to submit an undertaking (on an Affidavit duly notarized) to this Hon'ble Tribunal to the effect that there would be no retrenchment of any employee	

	who were in service as on appointed date as well.	Amalgamation) prescribed under Companies (Accounting Standards) Rules, 2006 including any amendments thereto as may be prescribed under the Companies Act, 2013 read with rules made thereunder.
3	Clause 11 of Part B of the Scheme is silent on any specific accounting treatment for the merger of assets and liabilities of Transferor Company.	
4	Clause 6.1 of Part-B of the Scheme provides for increase of Authorized Capital. However, as per the said Clause, the authorized capital of the Transferee Company shall automatically stand increased without payment of any further fees/stamp duty payable to the Registrar of Companies. This term in the Scheme is not in line with the provisions of Section 232(3)(i) of the Companies Act, 2013. In this regard, the Transferee Company shall	(4) to comply with the provisions of the Section 232(3)(i) of the Companies Act, 2013 and pay the difference fee, if any, after setting off the fee already paid by the Transferor

	comply with the provisions of the aforementioned section and pay the difference fee, if any, after setting off the fee already paid by the Transferor Company on its respective capital.	Company on its respective capitals.
5	There are no proceedings pending under the provisions of the Companies Act, 2013 against the Petitioner Companies as per the information provided by them vide letter dated 06.06.2022.	(5) There are no proceedings pending against the Petitioner/ Transferor Company under the provisions of Companies Act, 2013.
6	As per the Balance Sheet as at 31.03.2021 the Company has neither invited nor accepted any deposits falling under the purview of section 76 of the Companies Act, 2013 read with Companies (Acceptance of Deposits) Rules, 2014.	(6) The Petitioner/ Transferor Company neither invited nor accepted any deposits falling under the purview of section 76 of the Companies Act, 2013 read with Companies (Acceptance of

7	As per the Balance Sheet as at 31.03.2021, the Transferor Company is loss making company getting merged in profit making Transferee Company. Hence, the Income Tax implication due to merger needs to be examined by the Income Tax Department.	Deposits) Rules, 2014. (7) The Transferor Company has dispatched/served the copy of the Company Petition on 28.2.2022 as well as notice on 04.04.2022.

6. Finally the Official Liquidator (OL) did not raise any objections against accepting the Scheme of Amalgamation of the Petitioner Company.

7. Considering the entire facts and circumstances of the case and on perusal of the Scheme, reports of the Regional Director, Official Liquidator, and reply/undertakings of the Petitioner Company thereon and the documents produced on record, the Scheme of Amalgamation appears to be fair and reasonable and is not contrary to public policy and not in violation of any provisions of law. All the statutory compliances have been made under Section 230 to 232 of the Companies Act, 2013.

8. The Company Petition is allowed with the following directions:-

a) The Scheme of Amalgamation (Copy of the Scheme enclosed at Page No.50 to 70 of the Petition in CP(CAA) No.4/230/AMR/2022 and Page No.52 to 72 of the Petition in CP(CAA) No.5/230/AMR/2022)is hereby sanctioned and it is declared that the same shall be binding on the Petitioner Companies and their respective Shareholders and Creditors, Employees and all concerned under the Scheme.

b) The Scheme shall become effective from the Appointed Date i.e., 01.04.2021 and shall be made operational from the date of filing of the orders with the Registrar of Companies.

c) While approving the Scheme as above, it is further clarified that this order will not be construed as on order granting exemption from payment of stamp duty or taxes or any other charges, if payable, as per the relevant provisions of law or from any applicable permissions that may have to be obtained or, even compliances that may have to be made as per the mandate of law.

d) The Petitioner Companies are directed to preserve their books of accounts and papers and records and not to dispose of without the

prior permission of the Central Government in terms of provisions of Section 239 of the Companies Act, 2013.

e) All concerned authorities to act on a copy of this order along with the Scheme duly authenticated by the Registrar of this Tribunal. The Registrar of this Tribunal shall issue the certified copy of this order along with the Scheme immediately.

f) The Petitioner Companies are directed to take appropriate steps to submit the said Scheme to Registrar of Companies within 30 days from the date of receipt of copy of this order.

g) The Petitioner Companies are directed to issue newspaper publication with respect to approval of Scheme of Amalgamation, in the same newspaper in which previous publications were issued in order to ensure transparency/dissemination of complete information to all concerned parties about the approval granted by the Tribunal for the Scheme as proposed.

h) The Petitioner Companies are further directed to take all consequential and statutory steps required in pursuance of the approved Scheme of Amalgamation under the provisions of the Act.

i) The Petitioner Companies are also directed to strictly comply with all the Undertakings given by them including those with regard to payment of due taxes and other statutory dues as mentioned in foregoing paragraphs of this order.

j) The Petitioner Companies are directed to strictly adhere to the above directions and applicable provisions of the Companies Act.

9. Accordingly, the Scheme stands sanctioned and the Company Petition bearing CP (CAA) No.4/230/AMR/2022 and CP (CAA) No.5/230/AMR/2022 are stands disposed of.

SD/-
JUSTICE TELAPROLU RAJANI
MEMBER JUDICIAL

Swamy Naidu